NITI Aayog constituted an Expert Committee on Land Leasing in 2015 which recommended negating all the provisions in the land laws of the states banning and restricting land leasing. It also proposed a new Model Agricultural Land Leasing Act, 2016. The Model Act is quite business-like in nature and protects the legitimate interests of both the lessor and lessee. It also recommended a standard land leasing agreement.

The draft model law was circulated to the states. A few states, like Madhya Pradesh, Maharashtra, Uttar Pradesh and Uttarakhand, either passed new laws or amended their existing legislation in line with the model law. The Central government seems to have become lukewarm towards this idea though, in her 2020–21 Budget speech, Finance Minister Sitharaman announced that the government will 'encourage those state governments who undertake implementation of … Model Agriculture Land Leasing Act, 2016 …' No action has been taken to implement the Budget announcement.

The enactment of the Model Agriculture Land Leasing Act is an absolute must for the welfare of farmers, and the growth of agriculture and the Indian economy. It would be in India's interest if the leasing reforms proposed in the Model Agricultural Land Leasing Act are extended to allow leasing of agricultural land for non-agricultural purposes as well.

Free Conversion of Agricultural Land into Non-Agricultural Use

Agricultural land operates under severe restrictions. The biggest constraint is that it can be used only for agricultural purposes. Unfortunately, on account of larger economic forces at work, agriculture has become a very low-income yielding business over the years. As a result, the asset value of land as agricultural property remains hugely depressed. Whatever multiple you use to value agricultural land, it would throw up a small valuation as the basic profit emanating from agricultural operations is quite small.